# CHAPTER 6

# THE RESOLUTION OF DISTRESS

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The pillar where we made the least progress, despite the involvement of the best and the brightest in the RBI, was in getting the banks to recognize financial distress and deal with it. This was also the area where the prevailing mindset was shaped most by the existing weak institutional structure, making change very hard without changing institutions.

The problem was most acute in the public sector banks, which had the greatest risk appetites in 2007-09 when many of the bad loans were made. The public perception was that much of the problem was due to corruption, but while this could be true of some banks where the bad loans really accelerated in the terms of specific CEOs, I became convinced that there were other, perhaps more important, causes. These included the irrational exuberance and the tolerance for high promoter leverage among bankers after the successful lending experience in the period before the global financial crisis, the slowdown in government permissions in the wake of scandals post 2011, the mindset of bankers vis-à-vis promoters, and the lack of instruments for recovery when distress hit.

We could do little about the past, and public sector bankers (with the exception of a few CEOs) were becoming cautious about lending in any case, given the piling bad loan problems. We could urge the government repeatedly to deal with projects held up because of government inaction, but results here too were outside our control. Where we could have more effect was in changing the mindset of bankers, and giving them more instruments to act vis-à-vis large promoters. The intent here was not punishment – recognizing that public sector bank credit growth was slowing, I wanted to focus on putting projects back on track so that economic activity would not be hampered. Instead, the intent was to ensure that everyone absorbed a fair share of the losses, and these did not fall entirely on the banks. As for